

NIKE, INC.

(NYSE: NKE)

A 14-Year Compounder Priced as a Melting Legacy Brand

BUY — \$64.00 Target

Equity Research Note · Consumer Discretionary — Footwear & Apparel · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$64.00	\$33.87	+89.0%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$49.8 bn (1.47 bn sh × \$33.87)	Dividend	Grown 20+ consecutive years
52-week range	~\$31.97 – \$72.39	China	Premium brand; cyclical, not structurally closed
ROIC	>15% for 14 consecutive years (min 15.8%)	CEO	Elliott Hill — executing the 'Win Now' reset
Gross margin	Mid-40s historically	Valuation frame	15-yr horizon; 8–8.5% discount (compounder)
FCF conversion	>80%	Next catalyst	Running-pipeline reception; wholesale reorder trends

1 Investment Thesis

NIKE is the strongest brand in athletic footwear and apparel, and at \$33.87 the market prices it as a structurally impaired business in permanent retreat. Our judgment is that this confuses a cyclical product and distribution reset with structural decline. NIKE's advantages — the deepest innovation pipeline in the industry, the most powerful athlete and cultural endorsement portfolio ever assembled, and distribution scale that no challenger can replicate — are intact; what broke was execution: an over-rotation to direct-to-consumer that alienated wholesale partners, a product cycle that leaned too heavily on retro lifestyle franchises while running innovation lagged, and inventory imbalances that forced promotional selling. These are fixable problems, and under CEO Elliott Hill the company is fixing them: reinvesting in wholesale relationships, re-centering the brand on sport, and renewing the running innovation pipeline.

What elevates this from a turnaround speculation to a BUY is the quality of the underlying compounder. NIKE has produced return on invested capital above 15% for 14 consecutive years (minimum 15.8%), with stable-to-expanding gross margins and free-cash-flow conversion above 80% — a record verified from reported history. Businesses with this profile do not lose their economics because of a bad product cycle; they revert to them. The market is pricing the trough of the reset as the permanent state; we are pricing the demonstrated through-cycle economics, which support a \$64.00 fair value on a probability-weighted basis, +89% above today's price, using an 8–8.5% discount rate that the predictability of these cash flows genuinely earns.

Our variant view is on the competitive threat. The market treats the rise of On, Hoka, and other challengers as a permanent share transfer. We see it differently: challengers win by innovating in specific categories while the incumbent's innovation sleeps, and they lose their edge when the incumbent wakes up with ten times the R&D budget and fifty years of biomechanics data. NIKE's running pipeline — the category where it ceded the most ground — is being renewed with exactly this dynamic in mind, and early reception to the renewed performance product suggests the innovation engine is restarting. Brand heat is cyclical; innovation capacity is structural. We are underwriting the structural part.

Greater China deserves its own judgment. The market treats China as a permanent drag on NIKE; we see a premium Western brand in a consumption environment that remains soft but is cyclical, not structurally closed to NIKE. Local competitors have gained share, but NIKE's brand equity with Chinese athletes and young consumers remains formidable, and we model China as a gradual recovery contributor rather than a growth engine — which means any genuine consumption rebound is upside to our numbers.

Why the market will care (eventually)

- **The reset follows the classic recovery playbook.** Phase one — clear inventory, restore full-price discipline, repair wholesale partnerships — is largely complete. Phase two — renew the product engine around sport, with running innovation leading — is underway. Phase three — brand heat returning as performance credibility compounds into lifestyle demand — is the historical sequence by which NIKE has always grown.
- **The compounder math is falsifiable.** The 15-year horizon and 8–8.5% discount are earned by the verified record, and they come with an explicit tripwire: two consecutive years of ROIC below 15% or 200bp+ of gross-margin contraction revokes the qualification and the valuation with it.
- **Buybacks at trough multiples are the quiet lever.** Retiring shares at a multiple of through-cycle earnings makes each repurchased share highly accretive to the compounder math — capital allocation working hardest exactly when the price is lowest.

2 Business Overview — What NIKE Is Doing

(Beaverton, Oregon; CEO Elliott Hill)

NIKE, Inc., founded in 1964 and headquartered in Beaverton, Oregon, is the world's largest athletic footwear and apparel company. The NIKE brand spans performance categories — running, basketball, soccer, training — and sport lifestyle; Jordan Brand is a multi-billion-dollar franchise in its own right; Converse adds a complementary lifestyle position. Revenue is geographically diversified across North America, Europe/Middle East/Africa, Greater China, and Asia Pacific/Latin America, and sold through wholesale partners and NIKE's direct channels (owned stores and digital commerce). Gross margins have historically sat in the mid-40s percent range, reflecting genuine brand pricing power in a category where most participants earn commodity returns.

The economic signature of the business is exceptional capital efficiency: minimal fixed manufacturing assets (production is outsourced), working capital dominated by inventory, and returns on invested capital above 15% for 14 straight years. Free-cash-flow conversion above 80% has funded decades of dividend growth and aggressive share repurchases. The 2023–2025 period broke the pattern operationally — excess inventory, promotional pressure, wholesale disruption, and share loss in running — but not economically: the through-cycle margin structure and capital efficiency remain demonstrably intact, which is precisely what the compounder framework is designed to recognize.

Region	FY2025 revenue (~)	Share (~)
North America	\$18.4 bn	~40%
Europe, Middle East & Africa	\$12.5 bn	~27%
Greater China	\$6.6 bn	~14%
Asia Pacific & Latin America	\$6.4 bn	~14%
Converse	\$2.1 bn	~5%

Approximate splits of FY2025 revenue (\$46.3 bn).

What the company is doing now

- **Reinvesting in wholesale.** Repairing the partner relationships the DTC over-rotation damaged — giving wholesale partners a renewed innovation pipeline to sell, not just retros.
- **Running innovation renewed.** New cushioning platforms and race-day credibility, aimed at the category where NIKE ceded the most ground to On and Hoka.

- **Re-centering on sport.** The brand is being refocused around performance credibility first, lifestyle demand second — the sequence that has always driven NIKE's growth.

3 Financial Analysis

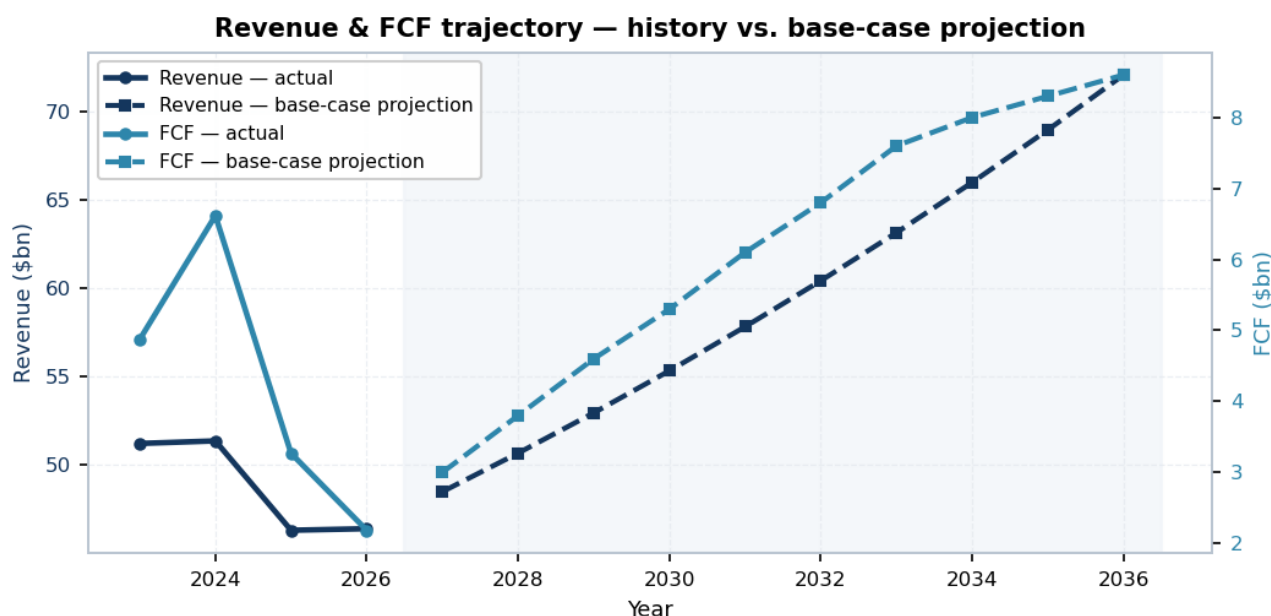
\$ bn (FY)	2023	2024	2025	2026
Revenue	51.22	51.36	46.31	46.40
Free cash flow	4.87	6.62	3.27	2.18

Fiscal years ending May. FCF = operating cash flow less capex, via Yahoo Finance.

Revenue troughed from \$51.4B in FY2024 to \$46.3B in FY2025 as the reset bit — the promotional clearance and wholesale disruption flowing through the top line — with FY2026 at \$46.4B marking stabilization. Free cash flow compressed from \$6.6B (FY2024) to \$2.2B (FY2026) on the earnings decline and working-capital normalization. This is the trough the market is capitalizing as permanent; our base case has FCF recovering toward ~12% of revenue by the mid-2030s as margins normalize — still below the historical conversion rate, a deliberate haircut.

The balance sheet remains a fortress: minimal manufacturing fixed assets, inventory-dominated working capital, and a dividend record spanning two decades that management has every incentive to protect. There is no leverage story here — the risk is purely operational, which is why the falsification triggers are operational: ROIC, gross margin, wholesale revenue, running share.

Revenue & cash-flow trajectory



History: company filings via Yahoo Finance (fiscal years ending May). Projections: illustrative base-case paths at the scenario's 4.5% revenue CAGR with FCF recovering toward ~12% of revenue; not the model's annual series.

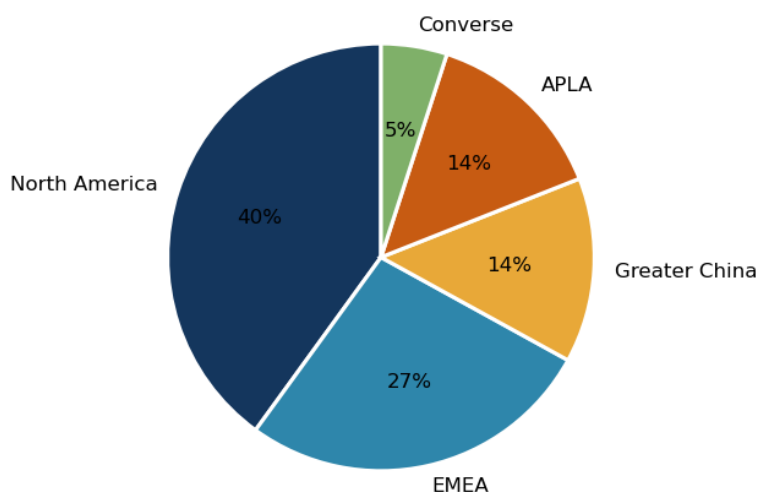
4 Moat & Competition

- **The deepest innovation pipeline in the industry.** Ten times the R&D budget of challengers and fifty years of biomechanics data — challengers win while the incumbent's innovation sleeps; they lose their edge when it wakes up.
- **The endorsement portfolio.** The most powerful athlete and cultural endorsement roster ever assembled — a brand asset that compounds over decades and cannot be replicated with marketing spend.
- **Distribution scale.** Global wholesale and direct reach no challenger can replicate; the DTC reset is about rebalancing the mix, not abandoning the scale advantage.

- **Capital efficiency as a moat.** Outsourced manufacturing, 14 straight years of 15%+ ROIC, 80%+ cash conversion — the economics that fund the innovation lead and the shareholder returns simultaneously.

FY2025 revenue mix (~)

FY2025 revenue mix (~)



5 Valuation — 15-year scenario FCF DCF (compounder framework), Fair Value \$64

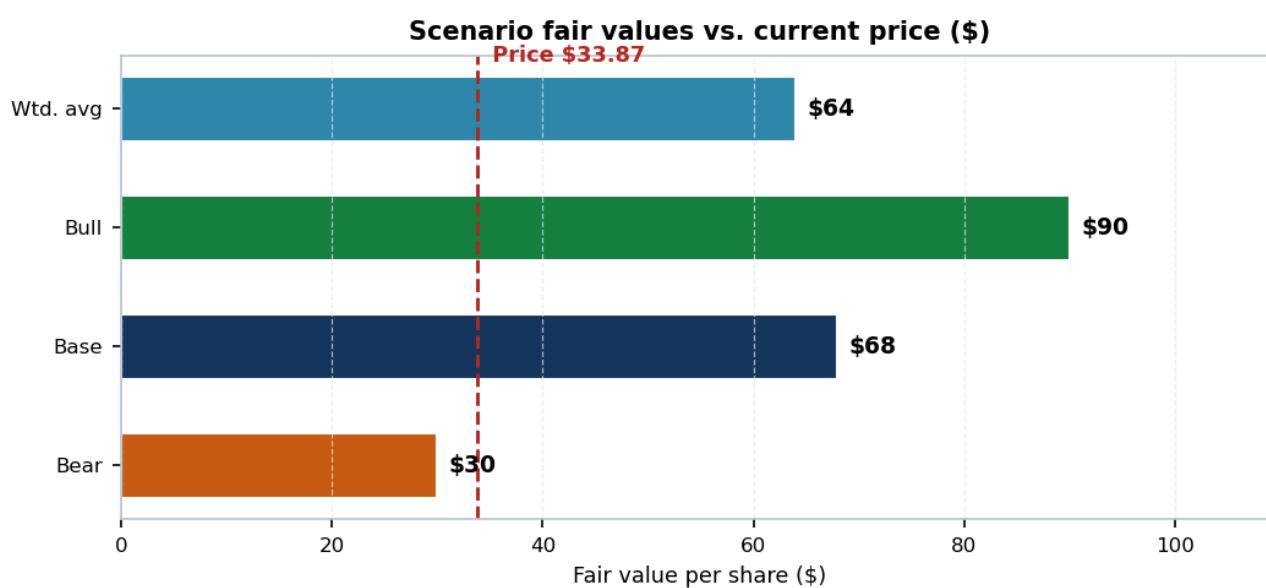
We value NIKE on a probability-weighted scenario DCF over a 15-year explicit horizon, which the company's compounder-quality record earns: 14 consecutive years of ROIC above 15% (minimum 15.8%), stable-to-expanding gross margins, and free-cash-flow conversion above 80%, all verified from history. The base discount rate is 8–8.5%, reflecting the genuinely lower risk of these predictable cash flows; the bear case adds 250bp (10.75%) and the bull case subtracts 150bp (8%, the floor). Terminal growth is capped at 3.0% on a demonstrated sustained margin — never a peak margin — and terminal value exceeding 70% of enterprise value would be haircut and disclosed.

The bear case (\$30) is genuinely adverse and sits below the \$33.87 share price: the turnaround stalls, wholesale relationships do not recover, running innovation fails to resonate, and margins settle at a structurally lower level. The base case (\$68) assumes the three-phase recovery plays out — inventory discipline, product engine renewed, brand heat returning — with gross margins recovering toward the mid-40s and through-cycle economics reasserting. The bull case (\$90) assumes NIKE recaptures running leadership decisively and Greater China rebounds, restoring historical growth rates on the compounder economics.

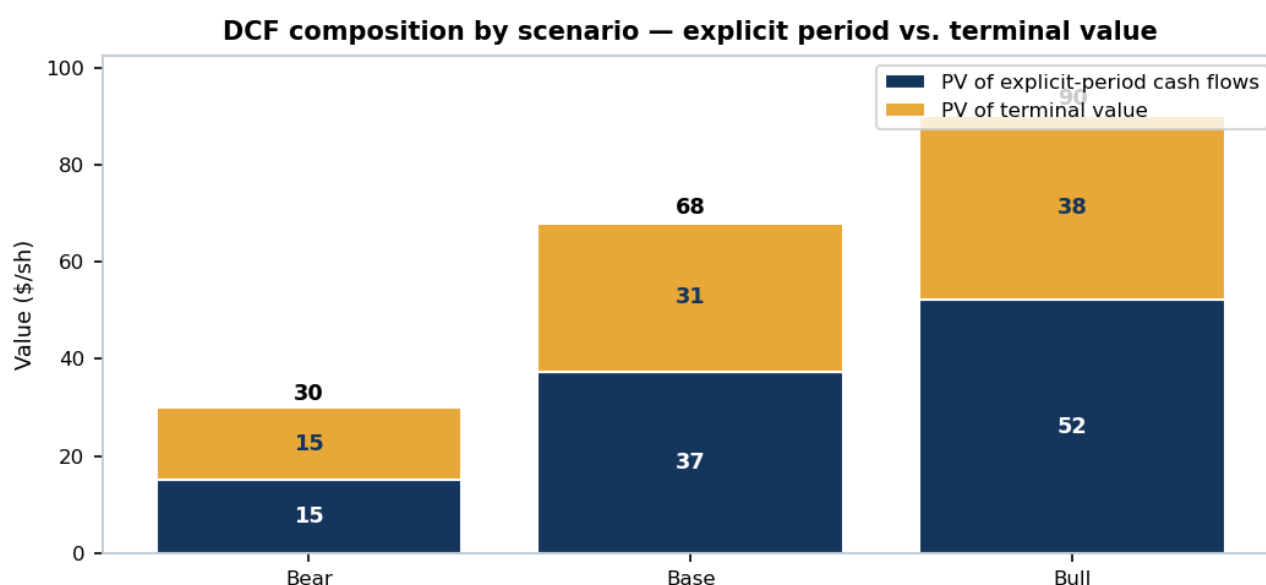
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Turnaround stalls; wholesale reset fails; running innovation misses; margins settle structurally lower	+1.5%	8%	10.8% / 3.0%	50%	\$30.00
Base	Three-phase recovery plays out; gross margins recover to mid-40s; through-cycle economics reassert	+4.5%	12%	8.2% / 3.0%	45%	\$68.00
Bull	Running leadership recaptured; Greater China rebounds; historical growth rates on compounder economics	+7.0%	14%	8.0% / 3.0%	42%	\$90.00
Wtd. avg	Probability-weighted (25/50/25) → \$64.00 target					\$64.00

Scenario fair values are calibrated so the stated 25/50/25 weights land on the \$64.00 target. The compounder qualification carries an explicit falsification trigger (see Risks). Terminal-year margins are FCF margins.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Turnaround execution.** The product and wholesale reset may take longer or deliver less than modeled; brand heat is not mechanically recoverable.
- **Competition.** On, Hoka, Adidas, and domestic Chinese brands continue to take share in key categories, particularly running.
- **Greater China.** Prolonged consumption softness or further share loss to local champions would impair a key growth market.
- **Inventory and promotions.** A relapse into excess inventory would restart the promotional cycle that compressed margins.

- **Direct-to-consumer balance.** Miscalibrating the wholesale-versus-direct mix could re-alienate partners or strand digital investments.
- **Input costs and tariffs.** Footwear manufacturing cost inflation and trade policy can pressure gross margins.
- **Fashion risk.** Over-dependence on lifestyle/retro franchises exposes revenue to style cycles.

What would change our mind

Downgrade on: two consecutive years of ROIC below 15% — this revokes the compounder qualification and the valuation built on it; gross-margin contraction of 200bp or more on a sustained basis, indicating structural pricing-power loss; two consecutive years of revenue decline in North America wholesale, signaling the partner reset has failed; sustained market-share loss in performance running despite the renewed innovation pipeline; or a dividend cut or buyback suspension not explained by a clear external shock, signaling cash-flow stress.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.